

NU Holdings NU

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by

js01123

2026 2027

Price:	14.30	EPS	0	0
Shares Out. (in M):	3,800	P/E	0	0
Market Cap (in \$M):	69,000	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

Nu Holdings (NU) Long

Thesis Summary:

Nubank is a long because it is a major AI application beneficiary that is the dominant player/enabler of the secularly growing Brazilian banking industry and is about to see a reacceleration in growth in its core Brazilian market driven by a singularly unique AI driven capability today that will expand its moat in the industry. Nubank is also about to inflect its growth in a new product category within Brazil, and inflect its profitable growth in Mexico, which will create a new wedge of earnings growth that should support its long term multiple. Nubank has completely disrupted the Brazilian banking industry over the last decade by providing unsecured credit and lending to the middle and low income consumers in Brazil who previously had no access to credit through a combination of a low cost model that yields a 90% lower cost to serve than incumbents (\$0.90 vs \$10 a month) and a credit underwriting model that was built on proprietary datasets NU developed over years of testing credit in the Brazilian market. At the end of 2024 the market started to fear that Nu's core Brazilian market might start to decelerate prior to Mexico being ready to contribute to earnings growth. However what is clear now, is that NU proactively slowed down its business in 2024 as it identified bottlenecks in its growth outlook that are now being solved by integrating their proprietary datasets into their Hyperplane AI frontier model and accelerating their credit underwriting process. After entering Mexico in 2020, establishing their brand, and investing heavily to build a proprietary database on the unbanked population, NU has now set up their Mexico operation to inflect to profitability in 2026. We underwrite that Mexico will drive meaningful portions of NU's earnings growth in the years to come, with most of the street still modeling NU as a consolidated entity and not appreciating the regional drivers. Nubank is also finally set up after years of getting regulatory approvals and working on integration to meaningfully enter the Brazilian Public payroll market which is the second biggest credit market in the country.

Ultimately we view a strong risk reward using our 14x exit GAAP P/E multiple to value NU on GAAP EPS of \$2.31 in 2029 which yields a 42% IRR.

Company/Industry Background

Nubank was founded in 2013 by David Velez. Today Nubank has 131M clients, 113M in Brazil, with 60% of these clients viewing Nubank as their primary bank, which represents 1/3 of the adult Brazilian population. They have operations in Brazil, Mexico and Colombia and a market cap of ~\$72B. Today they primarily make money from interest bearing personal credit (credit cards and PIX financing), personal loans, and are growing their business in payroll loans. 85% of their revenue is from interest earning assets and only 15% is driven by fees associated with cards, transactions, and accounts. About 53% of interest income is from personal credit products and 42% is from personal lending products. They are fairly breakeven on interest from deposits (which has been a part of their disruption strategy in Brazil/Mexico).

The founding of the company and early decision points are crucial to understanding how Nubank reached its current level of dominance. In 2012, David Velez moved to Sao Paulo to lead LatAm investing for Sequoia Capital and the experience of trying to open a bank account in Brazil, from the horrible in-person experience to the months of hurdles he had to overcome to get a fully functioning bank account, showed him the industry was ripe for disruption. At the time, Brazil's banking sector was one of the most concentrated and profitable in the world with 5 banks (Itau, Bradesco, Banco de Brasil, Caixa and Santander) controlling 80% of the country's assets and charging exorbitant fees/interest rates (credit cards had 400% annual APRs, savings accounts, debit cards, and credit cards all had high fees). The extreme profitability of the Brazilian financial sector and oligopoly status of the leading 5 banks led to an industry with no real incentive to serve the best interest of consumers. Incumbents were weighed down by the cost of massive retail branch networks and made no investments in technology.

Nubank therefore launched in 2013 with a few core principles that they thought would be key to disrupting this market. They would be a purely app-based bank, with no retail branches, so that their cost to serve customers would be 80-90% lower than incumbent banks. This cost to serve advantage would allow them to majorly undercut incumbents on fees and interest rates. They would focus on a best in class user experience, from the app experience, to customer service, and trust/safety that would build brand affinity and loyalty and address the extremely low NPS issue in the Brazilian banking industry. And maybe most importantly, they would build a credit underwriting organization completely from scratch using self-funded data gathering, alternative data, and machine learning. The Brazilian credit bureau system at the time was different than the US in that they only tracked negative datapoints. They only showed when someone was late for a payment or when the defaulted, not good behavior that tracked timely payments. This made it impossible for lower and even middle income people to build credit history, as no bank would lend below certain income levels because there was no historical data to track the risk levels of the entire cohort. The high potential default rate combined with the high cost to serve of incumbent banks (weighed down by retail operations) meant that lower income cohorts were too unprofitable for incumbents to consider as clients, leaving 40% of the population without access to personal credit.

A key early moment for Nubank was getting an investment from the co-founder of Capital One, Nigel Morris, in 2014. Nigel became the unofficial advisor of building the Nubank credit model with the same core strategies that helped Capital One disrupt the US credit card industry in the 1990s. Nubank recruited very senior members of the Capital One team to join the company and help build their practice. Nubank secured funding and launched a no fee credit card (unheard of at the time) in 2015 in Brazil with interest rates at less than half the rate being charged by incumbents. They launched to gain notoriety and with the intention of initially burning through hundreds of millions of dollars to gather data. The model was "low and grow", where you give low credit limits to uncredited investors just to run immense A/B testing on figuring out what signals would ultimately be the best predictors of credit underwriting. The cloud native infrastructure and purely app interface meant they could ingest immense alternative data but also gather behavioral signals from their app usage. Diligence with members of the team that built the model discussed that the differentiation was that not only did Nubank know *what* your transactions and credit activities were, but *how* you transacted. When you logged into the app, how often you logged in, how you navigated it, your session times, etc ended up being areas of huge signal on future credit activity. This data took years to accumulate to reach a scale that Nu could leverage meaningfully. After launching their credit card in 2015, they remained only a credit card enabler gaining customers and building their brand in Brazil. But they continued to lend very low limits and concentrate on building their credit underwriting model rather than growing the business. Every diligence contact we have spoken to that was a part of building their credit underwriting model over the years has said the same general thing "David Velez and management engrained in everyone's mind, that they had a very long time to prove their ability to grow and short bouts of lower growth could be forgiven. But if their default rates or credit underwriting showed any weakness, the venture capital community and stock market would never forgive

them or give them a fair market valuation again”.

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After 3-4 years of purely testing and learning, NU unleashed its credit underwriting model at full scale in 2018 with incredible results in the market in terms of growth, stealing market share, and shocking the industry in their ability to manage default rates and non-performing loans (NPLs).

Credit Card Market Share

Market Share by Player										
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Iau Unibanco	34.1%	32.2%	33.4%	32.8%	32.7%	30.1%	28.5%	27.5%	24.9%	23.1%
Nubank	0.2%	0.8%	1.9%	2.8%	3.3%	4.7%	6.5%	8.9%	12.0%	13.2%
Bradesco	18.6%	18.8%	16.9%	15.0%	14.4%	14.1%	13.4%	13.9%	12.8%	11.9%
Banco do Brasil	13.8%	13.5%	12.8%	12.3%	11.6%	11.7%	12.5%	11.5%	10.5%	9.7%
Santander	11.5%	11.8%	12.7%	13.5%	12.9%	13.1%	11.7%	9.7%	9.4%	9.6%
Banco CSF	2.9%	3.0%	3.1%	3.3%	3.6%	3.9%	3.4%	3.2%	3.5%	3.9%
CEF	6.1%	5.3%	4.8%	4.2%	4.0%	3.5%	2.7%	2.7%	2.7%	2.7%
Porto Seguro	2.2%	2.3%	2.5%	2.3%	2.3%	2.7%	2.6%	2.5%	2.6%	2.6%
Inter	0.0%	0.1%	0.1%	0.2%	0.3%	0.7%	1.2%	1.3%	1.6%	1.8%
Others	10.5%	12.4%	11.8%	13.8%	14.8%	15.5%	17.5%	18.8%	20.1%	21.9%

Top 5 Retail Banks Market Share

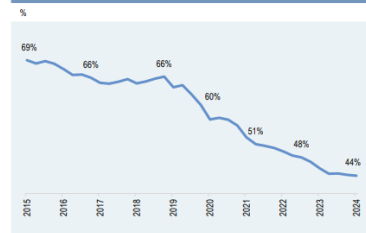


In 2018, after years of regulatory work, they were approved by the government (it required a special decree by the President given foreign ownership) to be regulated as a member of the Sociedade de Crédito, Financiamento e Investimento, which allowed them to offer savings accounts and personal loans. This was an essential step in the NU playbook. While the credit card industry was the easiest way to enter the market, disrupt the industry, and gain branding and market share, NU from Day 1 was focused on building **primary banking relationships**. They were the key enabler of the unbanked population, and capturing the entire banking relationship would be the key to their long term retention and building a moat for the business. They believed if the company scaled per their ambitions, they would always be the lowest cost operator in the industry and if they held the primary banking relationship, no newcomer would have the capability to sustainably come in and undercut those sticky relationships. Access to deposits would also lower their cost of funding to extend their lead as the lowest cost to serve provider. The personal loan business (\$100 to \$1,000 loans with 3-12 month duration, often for emergency situations) saw similar rapid market share gains post launch, given the level of access provided to this new demographic, better rates than incumbents, and much higher NPS for entire user experience.

Personal Loan Market Share overtime

Market Share by Player										
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Banco do Brasil	25.8%	27.5%	25.0%	23.7%	22.5%	20.0%	16.9%	16.4%	16.7%	14.9%
Bradesco	17.6%	16.6%	14.2%	15.4%	16.5%	16.3%	14.3%	13.8%	11.1%	13.3%
Nubank	0.0%	0.0%	0.0%	0.0%	0.2%	0.7%	3.5%	4.5%	6.6%	10.6%
Iau Unibanco	11.6%	9.8%	11.2%	11.6%	11.0%	7.2%	8.3%	7.9%	6.7%	8.3%
Santander	6.3%	7.3%	9.2%	9.8%	8.2%	7.3%	7.5%	6.1%	5.4%	4.4%
OP	0.0%	0.0%	0.0%	0.0%	0.0%	1.8%	3.3%	4.2%	4.4%	3.6%
W / Votorantim	0.1%	0.2%	0.2%	0.2%	0.4%	0.7%	1.6%	2.5%	2.6%	2.3%
Arcantim	0.0%	0.0%	1.6%	1.2%	1.1%	1.0%	0.9%	1.3%	1.8%	1.6%
Banco Pan / BTG	0.0%	0.3%	0.2%	0.1%	0.0%	0.0%	2.7%	2.3%	1.4%	1.4%
Others	38.5%	38.3%	38.4%	38.0%	38.1%	45.0%	40.9%	41.0%	41.3%	39.6%

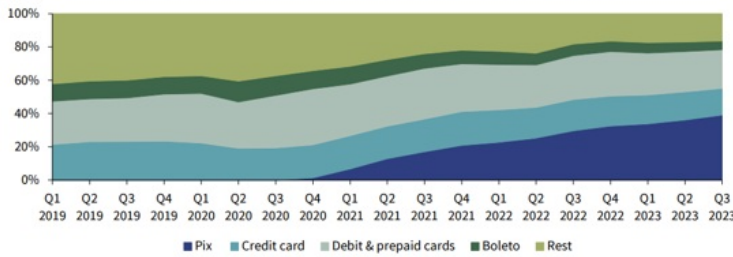
Top 5 Retail Banks Market Share



A key moment for Nubank was in 2020, with the launch of the PIX rails in Brazil. Prior to Pix, transferring money from person to person required high fees and had to be done during banking hours. Merchants were beholden to credit card POS devices that charged high fees, and the settlement period in Brazil was 30 days, which meant merchants had to pay large fees to merchant acquirers in order to get access to their own cash flow sooner. Brazil therefore created the Pix rail system, where P2P money transfers were free and merchants could have a QR code in their store which a consumer could scan and pay directly to the merchant instantly from their Pix account. The merchant would pay a minimal fee versus history and get instant access to cash flow, rather than waiting 30 days or paying a fee for faster access to cash. The incumbent banks were very scared of this development because mass adoption meant they were going to lose P2P transfer fees, interchange fees on debit transactions, and potentially lose credit card share to Pix. This ended up being a game changing opportunity for NU. Merchants widely adopted PIX and offered discounts to consumers to use it at their stores, but in order for consumers to use Pix, they needed to connect a bank account that had cash available. For anyone that didn't have a bank account, they could sign up with the Nubank app in 5 minutes and connect Pix. Generally, connecting NU to pix was the best user experience. In the early days, transacting on PIX through the NU app took 3 seconds, while incumbent banks took 15 seconds. The widespread recognition of Brazilians that NU was the best platform to connect PIX led to a massive increase in Nubank as a primary banking relationship. Consumers could only use their personal credentials to connect one bank to Pix, and when scanning a QR code to use Pix, you go directly to the app of your connected bank. So if you connected your Pix to Nubank, you were directed to the Nubank app each time you used Pix. **Today 1 out of every 4 Pix transactions happens on the Nubank app.** Nubank soon became the first bank to offer Pix financing, where instead of taking cash directly from your checking account, NU allows you to pay in interest-bearing installments or add the

transaction to your credit card bill. This has been a significant contributor to Nubank's credit card interest income.

Fig 106: Brazil – evolution of usage of main payment methods (% , per number of transactions)

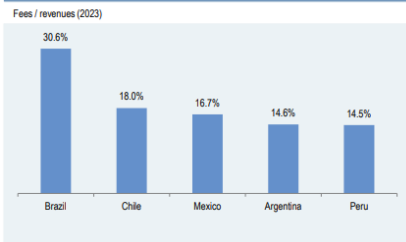


Source: Redburn Atlantic, Brazil central bank

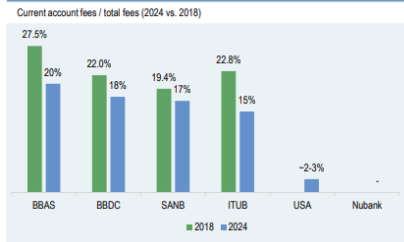
While Nubank has made a huge impact on the Brazilian banking industry, with 60% of the adult Brazilian population actively using their Nubank account and 60% of those customers using Nubank as their primary bank (so over 1/3 of Adult Brazilians use Nubank as their primary bank) the incumbents have not pivoted their models. Their bloated cost structure and reliance on fees to drive earnings, has meant they had to cede the lower income consumers and concentrate on higher income consumers. Nubank's ability to lend to this demographic remains untenable to the large banks, given their inability to underwrite this cohort at comparable levels to Nubank and inability to compete on credit limits, rates, or handle the default rates associated with these cohorts given costs associated with their bloated physical branch network.

- Nubank has impacted the high fees of incumbent banks in Brazil, but they are still highly prevalent

Fees to Revenues – Disproportionately High in Brazil

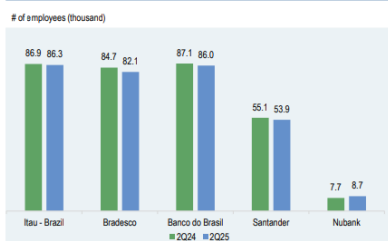


Checking account fees remain relevant in Brazil

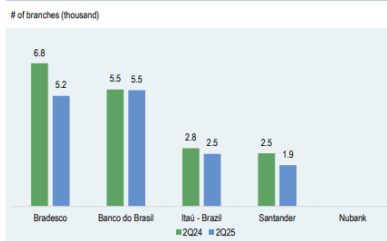


- Incumbents remain completely burdened by their cost structure

Number of employees



Number of branches



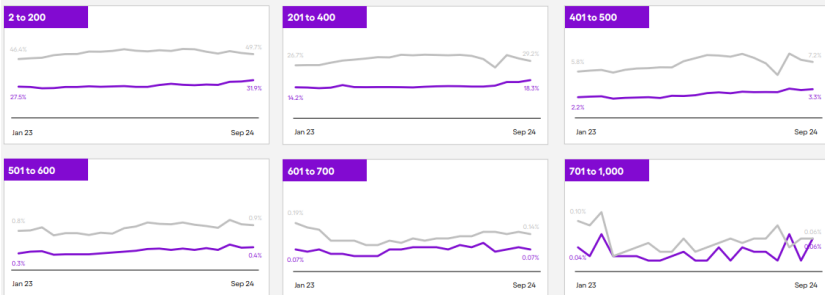
- Below shows NPL rates based on cohorts from Nu's proprietary risk score. It is clear how much higher NPL's are at lower risk scores (meaning it's an extremely costly and capital intensive business), but also clear how meaningfully Nubank outperforms in underwriting risk across all risk levels. At the lowest risk score level they have 32% NPL rates vs peers at 49% and at the next level they have 18% NPL rates versus peers at 29%.

NPL 90+ By Risk Band

Defined by Risk Score

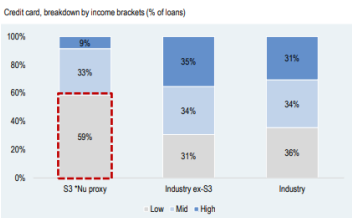
— Nu

— Market

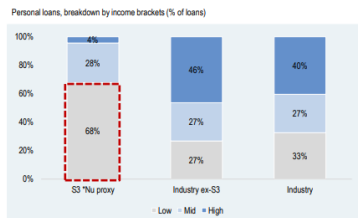


- This has led to a demographic mix for Nubank that is skewed to lower income, while the incumbents focus on high income

Cards - Nu appears more exposed to lower income



Personal loans – also more biased to lower income



Fintech Competitive Land scape in Brazil

Mercado Libre / Mercado Pago

Mercado libre is the ecommerce leader in Brazil with 35% market share, but is closely followed by Shopee (owned by Sea Ltd) with 25% share and Amazon with 20% share. When the company launched in the early 2000s, they realized one of the biggest barriers for growth was the lack of credit card penetration in Latin America and lack of trust between buyers and sellers. They launched Mercado Pago in 2003 as a digital wallet where you could deposit cash and pay for goods on MELI. In the early 2010s, they realized that this wallet could provide value to other ecomm players and opened their API and wallet to be used across the web as a checkout processor. They then moved more into the merchant acquiring business and launched mobile POS devices to be used at retail, which led naturally into offering credit and loan products to SMBs that were getting paid through Mercado Pago. Similarly in the late 2010s, MELI started moving from purely a wallet business to offering limited amounts of consumer credit. We spoke to several diligence contacts that worked directly in the LatAm fintech business over the years, and the internal directive for years was about driving volumes at the marketplace and enabling transactions. Their platform was not built with the intent for mass scale consumer credit or lending. While they have years of consumer transaction data, they do not have proprietary data around consumer lending behavior. As a result, they have suffered with higher NPLs on a LFL basis with their peers in the Brazilian landscape. Every diligence contact discussed a lack of ability for MELI to compete directly with NU on the lower income given extreme lack of risk appetite to build/fund that capability. MELI also greatly suffers because no one in Brazil views them as their primary bank. No one deposits their paycheck, full savings account, or conducts all their spending with a MELI credit card. It is a 2nd or 3rd account for consumers to utilize on the MELI site and for other perks, but not their primary bank relationship. There is a limited view that MELI can break out of this position. Even the most bullish analysts do not see MELI as a major player in Brazilian consumer banking. They currently have <2% market share of Brazilian consumer credit/loans and longer term estimates have them more than doubling their share (which is impactful to their P&L) but still not a threat to the NU dominance

Fig 19: Main banks in Brazil and Mexico vs main digital banks - 2028E market share (%)

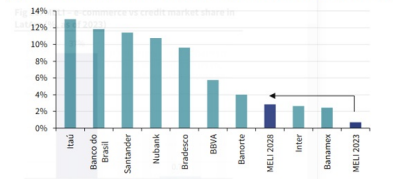
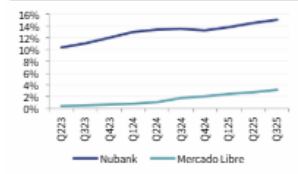
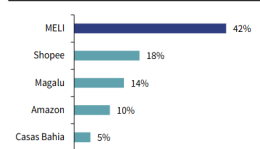


Fig 38: Nubank vs MELI - credit card market share evolution in Brazil (%)



Meli's marketplace business has also started seeing increased competition, with AMZN calling out increased focus on lowering prices and winning share in International markets in 2026. Meli is therefore even more focused on their core business at the moment versus disrupting Nubank.

Fig 7: Brazil - estimated market share (%; latest available data)



Source: Rothschild & Co Redburn, Company, ABCOMM

Other Digital Competitors in Brazil

C6 (Private) / Banco Inter (\$4B market cap)- Both are highly focused on the highest income consumers in Brazil. They fight over wealthy consumers at the top of the pyramid and focus on investment products, shopping and travel.

PagBank (\$3B market cap)- Highly focused on micro merchants. They have a significant banking business that supports micro merchants, but limited traction with general consumers as a primary bank.

Stone (\$4B Market cap) - focused on SMB and mid market retailers to provide high touch financial services

Revolut (Private) - European player that is focused on international travelers. They help with cross border transactions, FX transactions of moving cash. Highly successful in Eastern Europe and UK. They have no meaningful history of credit or lending. They want to focus on high income consumers in LatAm who travel internationally.

Nubank Other Geographies

We discuss in detail the Mexico business in investment thesis point 2. But its worth mentioning that they have a business in Colombia which really only exists because the founder is Colombian, but is immaterial long term. Nu recently got a banking charter in the US. They see a long term opportunity with the unbanked (highly Latin American) population in the US. But they consider the US a part of the 5-10 year plan, with the next 3 years focused on Brazil/Mexico and getting the regulatory framework set up in the US. NU also made a 10% investment in a business called TymeBank, which operates a digital bank in South Africa and the Philippines. This is similarly a long term opportunity that they are considering, but is not factored into our projection period.

NU TAM Penetration in Brazil and Mexico

Brazil Is Still in Early Innings – We Are Doubling Down

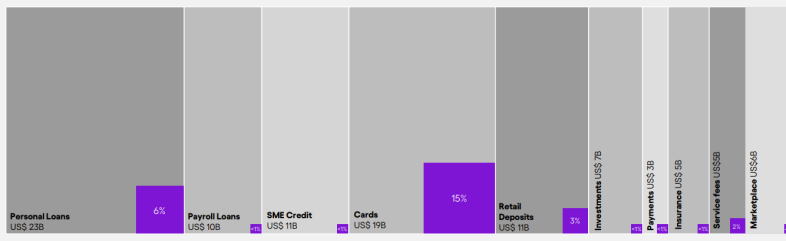


Profit Pool for Key Products

Revenues net of cost of funds, cost of risk and losses, 2024, US\$B

Gross Profit Market Share: 5%

■ Nubank Gross Profit Market Share (%)



The Mexico TAM itself will be rapidly expanding as NU enables lower income inclusion in the financial system

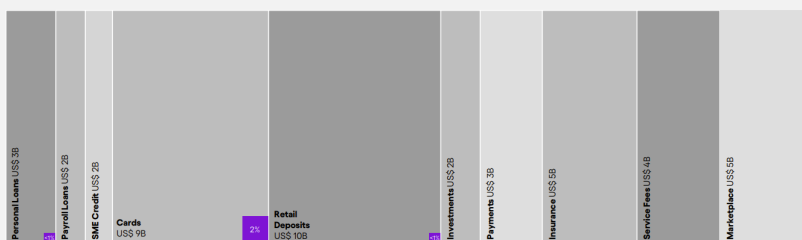


Profit Pool for Key Products

Revenues net of cost of funds, cost of risk and losses, 2024, US\$B

Gross Profit Market Share: <1%

■ Nubank Gross Profit Market Share (%)



Investment Thesis

1. Nubank's core Brazilian business is about to benefit from a multi year growth uplift driven by integrating Hyperplane AI with their best in class credit underwriting models. We are ahead of the street on the size of NU's Brazilian Credit Card portfolio in 2028 with more gains to come in personal loans and the Mexican business as they integrate AI driven capabilities into these underwriting models in 2026.

- A fundamental issue that was preventing a faster growth rate for NU was the slow speed of their credit limit increases. NU spent years doing the difficult work of building credit history for millions of Brazilians (that was now proprietary to them), but their risk models still lacked an ability to accelerate the pace of credit limit increases without impacting default rates. This was leading to customer frustration and lowering NPS scores with low limit customers.
- A key initiative that is changing this narrative is their acquisition of Hyperplane AI in Summer 2024. Diligence with the NU business development team that oversaw this acquisition, pointed to major impact from this acquisition. They searched for years for an AI frontier model focused purely on financial risk that could take their data and credit underwriting model (that had been iterating for 10 years at this point) and improve on this model. The only company that passed the test was Hyperplane AI, which was Palo Alto based but founded by Brazilians and focused on the nuances of the Latin American market.
 - Over its history, every time NU upgraded their credit underwriting model they would see a certain level of uplift in credit underwriting performance (risk adjusted lending returns). **Integration of Hyperplane AI was tripling the uplift of these upgrades.**
 - Prior to acquisition Hyperplane worked on trials with Itau, Bradesco, and Santander. After months of working with the legacy banks, they were never able to get the data required to even run meaningful tests on the capabilities of the frontier model. Mercado Pago has immense transaction data, but conversations with their business development team made clear that transaction data has not been able to unlock the credit underwriting capability of Nu's proprietary lending data.
 - We conducted diligence with legacy banks, Mercado Pago, and Revolut, and no one is in a place to implement AI into their credit underwriting practice. They discussed help with customer support, internal processes, and fraud but no one has seen an ability to integrate it in their credit underwriting process.
 - NU already has a massive lead in credit underwriting capability, and is now confirmed to be the only player already implementing an AI frontier model to extend their lead in this area. In the years ahead even as frontier models in this space continue to improve, competitors will be far behind NU's capability and data.**
- We have already seen initial positive signs of the impact this is having on NU's credit portfolio, but all of the main gains are ahead. They announced a widespread increase coming to credit limits across their portfolio in 2025 with the final large tranche hitting in Q4. But historically, there has been a multi quarter lag time in terms of customers receiving these credit limits and actually using them. We can see below the acceleration in "unused credit limits" in the NU portfolio the last 3 quarters.

	12/31/2023	3/30/2024	6/30/2024	9/30/2024	12/31/2024	3/30/2025	6/30/2025	9/30/2025	12/31/2025
Unused Credit limits (mm of BRL)	16,999	17,393	17,080	18,936	17,664	20,486	24,520	27,256	28,841

- The company has already seen their unused credits expand by 10B BRL in the last year (and that doesn't include the portion of the limit increase that consumers already did use)

- We are 19B BRL ahead of 2026 estimates for credit portfolio size and 30B ahead in 2027.

Brazil Credit Card Loans	2025	2026	2027	2028	2029
Brazil Credit Card Loan Portfolio - Visible Alpha	108,254	125,714	146,352	187,471	188,253
% Growth	31%	16%	16%	14%	12%

Brazil Credit Card Loan Portfolio - Base Case	2025	2026	2027	2028	2029
% Growth	30%	21%	14%	12%	12%
% Vs Consensus	12%	16%	16%	15%	15%
\$BRL vs Consensus	15,016	23,932	26,652	29,164	

- A key nuance here that is not fully captured is that by extending credit limits, NU is also expanding their ability to offer credit for Pix financing. Pix financing on NU mostly eats into your credit limit, and with significant portions of NU customers reaching their credit limits, PIX financing saw a slowdown in the end of 2024 and early 2025. Because NU handles 1/4 of Pix transactions in Brazil and their consumers are more likely to conduct PIX financing, they likely have 30%+ share of this rapidly growing market. Given the limited fees associated with the PIX rails, these are also the highest margin customers for

NU. Expanding credit limits and accelerating NU's ability to grow Pix financing will lead to overall market share gains for NU in the Brazilian Credit market. **We see strong evidence therefore that NU will continue to gain share in the personal credit market, while the street only has them growing at similar rates to the market (when you include the projected growth rate of PIX financing).**

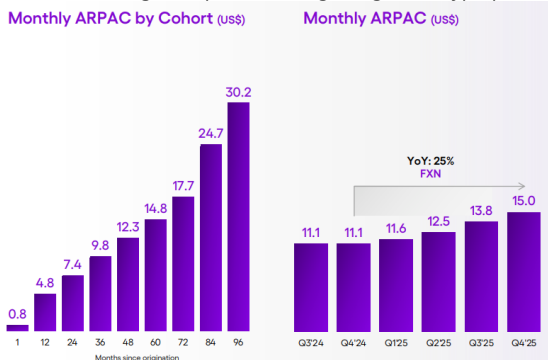
SBRL	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Brazil Credit Card Loan Market	229	270	276	378	472	538	614	700	763	831	898	961
% growth	16%	18%	2%	37%	25%	14%	14%	14%	9%	9%	8%	7%
Pix Financing				5	25	40	70	100	135	165	198	237
% growth				400%	60%	75%	43%	35%	22%	20%	20%	
Total Personal Credit Market	229	270	276	383	497	578	684	800	898	996	1,096	1,198
% growth	16%	18%	2%	39%	30%	16%	18%	17%	12%	11%	10%	9%

Credit Card Share												
Incumbent Bank Share	78%	76%	72%	68%	65%	61%	57%	55%	52%	50%	47%	46%
Itau	33%	32%	30%	29%	27%	25%	23%					
Bradesco	15%	15%	15%	14%	14%	13%	12%					
BBVA	12%	12%	12%	13%	11%	11%	10%					
Santander	13%	12%	13%	11%	10%	9%	9%					
Caixa	5%	5%	3%	2%	2%	3%	2%					
Nubank - Base Case	3%	3%	5%	6%	10%	11%	12%	14%	16%	17%	18%	18%
Other	19%	21%	23%	26%	25%	28%	31%	31%	32%	33%	35%	36%

f. The street assumes flat to slightly positive share moving forward

Brazil Credit Card Loans	2025	2026	2027	2028	2029
Brazil Credit Card Loan Portfolio - Visible Alpha	108,254	121,989	140,553	160,836	180,795
% Growth	31%	13%	15%	14%	12%
% Share of Brazil Credit Card Market	14%	14%	14%	15%	15%

- g. AI is going to benefit NU in many ways: lowering fraud costs (which also helps accelerate loan growth), cost cutting (70% of NU interactions do not involve a human, but they see that going to 90% over time), new products (easily can create AI financial advisor and grow areas like insurance and investments), but these are all areas where others can also benefit. NU will have an advantage given their primary banking relationships, brand recognition, digital product and high NPS, and this will help earnings growth. But what we are seeing on the AI integration with their credit underwriting is accelerating their growth today, widening their moat versus the competition and raising the bar for any new entrants considering approaching the market.
- h. The roadmap for Hyperplane AI is to start with this initial rollout across credit limits, but continue to iterate and improve that model from here. They chose to start with the Brazilian credit card limit underwriting because it is the best model they have and they thought it would be the toughest to improve. Next is deploying it across their credit card application product (impacting who they accept and at what credit limit), their personal loan business and into Mexico which they think should start by the end of 2026. They believe the upside in these next launches will be even more incremental to growth.
- i. The key metric that NU looks at to measure their progress in monetizing consumers is their Average Revenue Per Active Customer. Their ARPAC as of Q4 2025 was at \$15.0, with mature cohorts (aged 4 years more than the average) at \$30.2. Our projections in 4 years have ARPAC reaching \$23.55 (16% CAGR from 2025 average level). We believe that the maturation curve of these customers should naturally bring NU towards these levels in a few years, so when considering the upside of integrating their Hyperplane AI model, we feel our estimates are conservative.



h. **After entering Mexico in 2019 and investing over \$1.5B, NU has reached a scale to turn profitable in 2026 and we expect Mexico to contribute meaningful portions of Nu's 2028 and 2029 earnings growth, above street/buyside expectations.**

- a. After years of being considered a call option, Nubank's Mexico business has finally reached an inflection point that is set up for sustainable positive earnings growth in the decade to come. Proving out this business will be the key factor in supporting Nubank's valuation multiple and raising the markets conviction of Nubank's ability to enter other markets. Nubank first built operations in Mexico in 2019, it took them 1 year to get regulatory approval to launch a credit card, which they did in 2020. It then took them 3 years to get regulatory approval to operate as a SOFIPO, which allows them to take deposits and launch personal loans. In mid 2026, they should get their banking license approval in Mexico, which is a meaningful catalyst for their next leap. The license will allow them to directly take payroll deposits, engage in the payroll lending product, and government backed deposit insurance will go from \$12,600USD per account to \$200,000+ per account.
- b. The Mexican ecosystem is very similar to Brazil a decade ago, with 4 incumbent banks dominating the majority of share and leaving the vast majority of the country without access to the financial system. 80% of transactions in Mexico are still done in cash. Incumbent banks over earned on fees, and paid incredibly low deposit rates. **In the last few years NU has become 5th largest institution and 3rd largest issuer of credit cards.**

Fig 19: Bank account penetration (%; 2024)

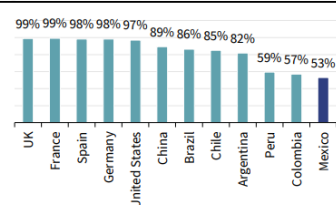
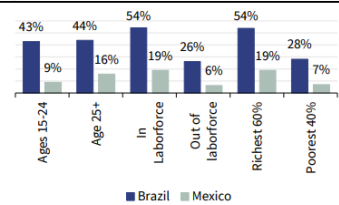


Fig 20: Credit card penetration (%; 2024)



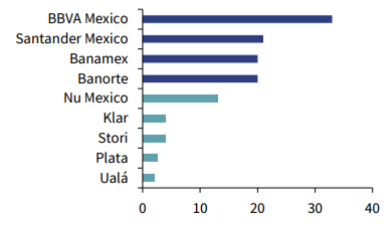
Source: Rothschild & Co Redburn, The World Bank

Source: Rothschild & Co Redburn, The World Bank

- d. The lack of trackable data has made cracking the unbanked Mexican market impossible for most, but created an opportunity for NU to bring its low and grow strategy to the country to build a proprietary database of activity from which to build their credit underwriting models. NU has been able to use the cash flow from its highly profitable Brazilian business to invest heavily in the market. They have invested in high credit losses just to build the proprietary database needed for their underwriting model, invested heavily in marketing, and ignited the "deposit yield wars" once it got its SOFIPO license in Mexico in 2024.

- i. Given specific dynamic of the negative working capital in Mexico where merchants are paid T+2 vs creditors paying at end of month, the need for growing their deposits was essential in this market to build the ability to drive their credit card business and personal lending business.
- ii. In 2024 with the Mexican interest rate at 11%, NU started offering 15% yields on deposit accounts which compared to 3-4% at incumbents and 9% at competing fintechs. This level was impossible for others to match without burning significant cash.
- iii. But the combination of the highest deposit yields, their credit card product that provided access to the unbanked, and brand recognition led to an inflection in customers for NU in Mexico

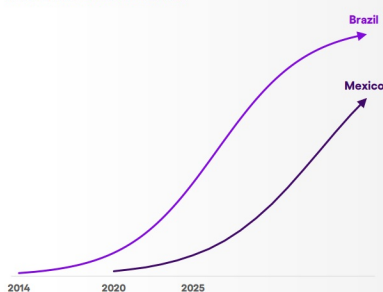
Fig 21: Banks & Fintech in Mexico – number of clients (million, latest available data)



Source: Rothschild & Co Redburn, company

- f. NU for the past few years has been taking 25% share of new credit card issuance, 50% of their credit card customers are first time users and they have far outpaced other peers. They also hold 70% of the total deposits in the entire Mexican fintech market. **NU holds 110B Pesos of deposits versus the 2nd player with 13B and Mercado Pago with 11B, in Mexico.**
- g. The key development of the last 12 months is that NU now feels they have built their deposit base to a scale that can support lending growth for several years ahead, and have brought down their deposit yields to the Mexican interbank rate. This gradual drop from 15% to 7%, which has been welcomed by the entire market, is leading to an inflection in profitability for the company.
- h. Economically Mexico is a higher revenue business because it has a similarly low cost to serve, but Mexicans run higher revolving balances on their credit cards leading to higher interest income. NU is already at \$12 of ARPAC in Mexico and a \$1 cost to serve.

Brazil vs. Mexico S-Curves



Brazil vs. Mexico Performance

	Q3'19 Brazil	Mexico	Q3'25 Brazil
Total Customers (MM)	15.6	13.1	110.1
Total Customers % of Adult Population	10%	14%	61%
Credit Card Purchase Volume (US\$B)	4.4	2.1	21.4
Interest Earning Portfolio (US\$B)	0.4	0.9	16.3
Deposits (US\$B)	2.1	6.1	30.4
Cost of Funding (as a % of Interbank Rate)	100%	125%	84%
CTS (US\$)	2.7	1.0	0.9
ARPAC (US\$)	6.7	12.5	13.5

FXN inflation-adjusted

- j. But what comes with this is a much higher revolving balance is higher NPLs/default rate, which has been the biggest issue for all the players. The player with the greatest scale, best underwriting model, and most customers will not only be able to minimize the NPLs vs peers but also have the lowest cost to serve, which leads to the lowest rates vs competitors. This creates little opening for new competitors to sustainably compete. Peers are unprofitably trying to win customers, but are unable to see a path to profitability when trying to match Nu's vision as a primary bank. This is why they have focused on small niches, while NU looks to go up against incumbent banks as a primary bank.
- k. The top 2 fintech competitors have meaningfully higher NPL rates than NU, despite lending to higher income cohorts

	2025 Monthly NPL%		
	October	November	December
NU	7%	7%	7%
Klar	13%	13%	11%
Stori	11%	11%	14%

- l. The competitive environment in Mexico is defined by incumbents, Mercado Pago, and other fintechs
 - i. We have conducted diligence with the above fintechs with similar takeaways across the board. The NU brand is known by every person in Mexico, with no other fintech with nearly the scale or brand recognition. The risk appetite NU has shown to build its base of lower income consumers and the NPLs they had to withstand to build their models is not something any other player has any interest or ability in building out. The fintechs see a massive population in middle income and above that is unbanked or underserved, and feel that just the secular growth in Mexico will allow multiple players to succeed. But no one feels that head to head they are offering a better product than NU. This strategy has led to mediocre growth and limited share for these small competitors while NU has broken out to take on the incumbents.

Chart 33: ...and number of customers

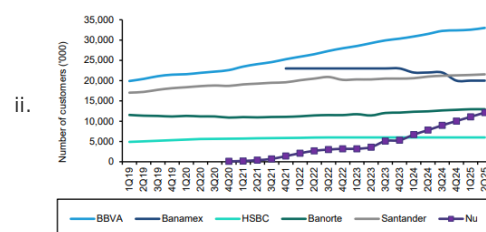
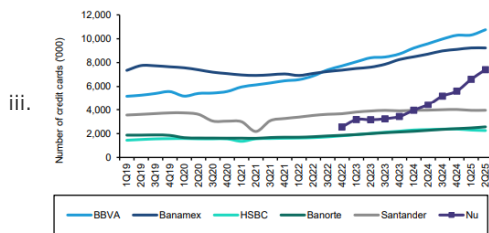


Chart 34: ... and number of credit cards

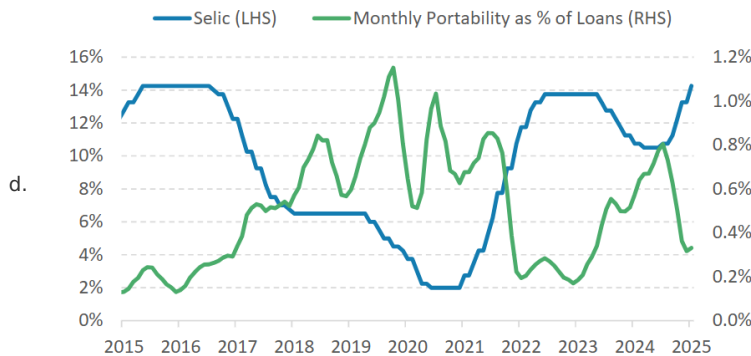


iv. Mercado Pago is the only competitor today that we think can pose a real threat in Mexico. But similar to Brazil, they remain dominant in merchant lending and payments but have not cracked the consumer credit/lending side. NU has issued 7.5M credit cards in Mexico which is the 3rd highest in the country (BBVA has 11M and Banamex has 9M) while Mercado Pago has issued less than 2M and has 1/10 the deposits of Nu.

m. **Nubank's core Brazil business is about to see an inflection in the growth of their payroll business which will meaningfully accelerate loan growth and bring down their cost of risk (upfront costs associated with predicting defaults) given the low default rates of these loans. We are 25% ahead of the street on the size of Nubank's Brazilian gross loan portfolio in 2028**

- The public payroll loan market in Brazil is the 2nd largest category in the personal credit market and only 10% smaller than the credit card market, at \$150B USD. NU currently has less than 1% share given the multi year regulatory approval and integration process to get the product launched. Public payroll loans are personal loans to government employees or retired government employees on pension that are paid back through direct deposits from paychecks each month. It is an industry dominated by incumbent banks, who still have 70% share, given they were the only ones with the regulatory access to the market until recently. As a result, they have been overcharging on interest rates meaningfully. NU is offering interest rates 30% lower than incumbent banks, which given the higher cost to serve by incumbent banks, would meaningfully impact their profits. Nu estimates that their current active customer base accounts for 55% of the payroll loans outstanding in Brazil. Over the course of 2024 and 2025, NU now has regulatory approval and integration to access 75% of this TAM.
- In the last year, NU has been slow to gain traction in this market. They have taken meaningful share in payroll originations with 16% share of pension payroll originations and 30% share of the Brazil equivalent of 401k backed loans. But these loans are 4+ years in duration, so the vast majority of money is to be made from winning the refinancing of outstanding loans. But the market has been at historic lows of refinancing given the rising interest rates in Brazil from 2024-2025.

c. **Exhibit 12: Brazil: Payroll Loan Portability Trends vs Selic Rate**



Source: BCB, Morgan Stanley Research.

- The market is pricing in a meaningful drop in rates over the course of 2026 which is expected to unlock movement in the payroll loan market and NU should continue winning outsized share of these loans moving forward. One other major development at the end of 2025, was dropping the payroll portability fee by 70% and cutting the days to transfer a loan from 5 to 3 days. This was a fee established and lobbied for decades ago by incumbent banks to protect their own payroll market share. But after much lobbying, NU was able to get these rule changed in late 2025 to further bring down the barriers for transferring these loans. **Payroll loans contribute 45% of our Brazilian loan portfolio growth in 2028.**

Risk/Reward

We view the risk/reward for NU favorably given our strongly favorable IRRs using exit multiple lower than any point in history, despite strong earnings growth in our exit year. Our exit years also do not include any value to new geographies or large product launches, for conservatism.

Our base case uses 14x our 2029 GAAP EPS for has a 42% IRR

Price Target (P/E)			
2029 Adj. EPS	\$2.31	\$2.31	\$2.31
% growth yoy	32%	32%	32%
% vs. consensus	20%	20%	20%
PE multiple	12.0x	14.0x	16.0x
PT	\$28	\$32	\$37
Plus: Dividends Paid	-	-	-
Total Value at 12/31/27	\$27.7	\$32.3	\$36.9
% Return	93%	126%	158%
% IRR	33%	42%	50%
Time to Target	2.33	2.33	2.33

Key Risks

1. Cyclical Risk

- NU is performing very strongly today in a Brazilian market still suffering from persistent inflation and 15% interbank interest rates. The macro is set to improve as inflation is coming under control and rates are due to fall through the course of the next 2 years. But we know this is a high priority risk to track closely. The Brazilian response to the conflict in the Middle East has been to use fiscal stimulus to shield the country from the economic impacts of the

Strait of Hormuz closing. Their main headwind is diesel for domestic freight logistics, where the government cut federal taxes on diesel and increased taxes levied on crude oil exports to offset the revenue loss. We see limited impact to the domestic economy if there is a medium term resolution in Iran.

2. **Digital AI Narrative**

- a. Nu is not a service provider, its not a middle man, its not a platform connecting separate parties. Nu is a bank the provides unsecured lending on balance sheet with \$40B of deposits, \$30B of loans and years of regulatory obstacles to establish themselves in their markets. NU may have a digital interface, but it provides a tangible 1st party good: capital. The businesses getting hit by the market are either ones whose historical barriers to entry have led to valuations that assumes limited competition, continued high margins and pricing power, where a lowering of barriers to entry could cause massive deflation and lower margins. Or a business that provides a service at a high price because its "hard" where Gen AI can make it much easier and steal share or drive down pricing. NU has already been the disruptor in its markets that has driven down fees, driven down profitability and scaled to a size where its low cost to serve is unmatched. The company has also burned billions of dollars in its primary markets in order to build a proprietary dataset that drives its ability versus peers and has led to market dominance despite operating in markets which are already highly competitive. NU is harnessing AI today to drive their moat deeper versus competition and will prove its AI driven benefits in the coming quarters (not years from now). They have also built primary banking relationships with 60% of their customers.

3. **Competitive Pressures**

- a. We have done immense Diligence focused on the competitive landscape in Brazil and Mexico. We feel strongly about NU's current dominant position with meaningful market share gains ahead in both markets. But we will continue to be hypersensitive to changes in competitive dynamics with extreme focus on Mercado Pago who remains the biggest threat, although continues to be unimpactful to NU.

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I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

YE26 earnings

Messages

Subject	Couple qs
Entry	09/01/2026 08:49 AM
Member	liverpoolstocks

Thanks for the writeup.

However, I am concerned about the health of their consumer base. The average Brazilian spends almost a third of their salary on debt repayments. Why shouldn't defaults go up.

Sure higher RoE probably warrants higher PE but this requires more growth which is often problematic for banks, thoughts?

Why is Nubank a better option than Itau and BTG etc.